

more of life that I can experience and engage in, but the only way I can do that is by stepping away.



I feel this interview should contain the type of warning that accompanies TV footage of dangerous stunts: “Don’t try this at home.” The truth is that Balodimas’s style is so highly individualistic, so dependent on innate talent, and so poorly attuned to most traders that, as a generalization, they would be better off doing the exact opposite than trying to emulate his approach. Of all the traders I have ever interviewed for any of the Market Wizard books, none has provided a more difficult role model from which to draw lessons applicable to most traders. There are, however, three lessons that can be drawn from Balodimas’s story that do have more general applicability without potential lethal side effects:

- **The need to adapt**—While the commonality of human nature provides elements of consistency in market behavior across time, markets also change, and successful traders adapt to that change. In the case of Balodimas, he noticed that the much greater level of market participation by hedge funds was resulting in smoother price moves for individual stocks and far fewer pullbacks, particularly intraday. This structural change in the market made it more difficult for Balodimas to offset losses from being too early in a position with profits from trading around the position. It became more important not to be too early on trades. Balodimas responded by keeping positions smaller until there was a market change that gave him a high degree of confidence that a turning point was imminent. Even though very few readers will be able to relate to Balodimas’s trading strategy, the idea that trading methods need to be adapted to changing market conditions is an important concept that can be applied to each trader’s specific approach.
- **Trading around a position**—A key element in Balodimas’s trading success is adjusting position size counter to market fluctuations. For example, if he is short, he will reduce his position on price breaks and rebuild the position on rallies. Balodimas is so skillful at trading around positions that he’s often able to generate net profits even when the net price movement of a stock over time is counter to his position.